

Brazil

Administrative Council for Economic Defense (CADE)

I. Context

Since its development, *Project Cérebro* emerged as an initiative to build partnerships between CADE and other investigative bodies.¹ However, with regular changing staff—within the project scope and in partnering agencies and government bodies—the challenges to recreate bonds and (re)build trust amongst partners became apparent.

The literature points to possible harmful effects in contexts in which teams responsible for developing new technologies operate uncoordinatedly without established parameters or information on the evolution of competitors.² This race for creating computational tools can produce ineffective results, particularly concerning undesirable effects on the accuracy and alignment between objectives and values.

These findings can be extended to the government sector, mainly when the performance of agencies overlaps, that is, in cases where several teams in the government sector develop computational tools to solve the same problem.³ In this regard, consolidating effective and lasting partnerships can be a strategy consisting of reduced costs and significant impacts.

II. Recent strategy

The year 2023 marks the revival of inter-institutional cooperation in the Brazilian federal government. Regarding *Project Cérebro*, the opportunity means the

¹ This text was written by Felipe Roquete, Coordinator-General of Antitrust Analysis of the Office of the Superintendent-General of CADE.

² Stuart Armstrong, Nick Bostrom and Carl Shulman, *Racing to the Precipice: a Model of Artificial Intelligence Development* 31 AI&SOC. 201-206 (2016).

³ Regarding the cartel investigation cases in Brazil. In addition to the antitrust agency, the Prosecution Services and the police can also investigate (i.e. criminal investigation) cartels within the private sector. As to cartels in public procurements, besides the already mentioned organizations, competence also lies in the different Offices of the Comptroller-General and Courts of Accounts.

possibility of strengthening partnerships, aiming at an efficient allocation of human and organizational resources.⁴

Therefore, to encourage inter-institutional coordination, CADE has continuously sought to develop long-term collaborations with organizations that have experience using computational tools for data analysis and investigations.

Thus, we avoid federal agencies entering a race to develop innovative solutions, which would implicate possible overlaps, inefficiencies, and redundancies.

The priorities in the public sector are to (i) avoid redundancy of the efforts of agencies; (ii) share techniques and models that enable other agencies, with competence to investigate collusive conduct, to carry out their activities and amplify the dissuasive effect of the tools elaborated by CADE; (iii) internalize tools, developed by other federal agencies, that provide useful inputs to the core intelligence and investigative activities.⁵

Hence, the partnerships with the Office of the Comptroller-General of Brazil and the Brazilian Court of Accounts—which possess competencies to investigate conduct related to federal procurements—were strengthened in 2023. Not only do these bodies develop computational tools for analyzing procurements, but they also have teams dedicated to data science and innovation.

That means the strengthening of the partnership between CADE and those agencies aims at ensuring that the ‘race’ for innovation and development of computational tools happens effectively and rationally, without redundant efforts of the government bodies, respecting each organization’s competency and guaranteeing to bring into use the expertise of teams where it has more relevance.

⁴ Although antitrust enforcement is considered cost-effective. See John M Connor & R H Lande, *The Prevalence and Injuriousness of Cartels Worldwide*, in ELGAR RESEARCH HANDBOOK ON CARTELS (Peter Whelan ed., 2023).

⁵ JD Jaspers, *Strong by Concealment? How Secrecy, Trust, and Social Embeddedness Facilitate Corporate Crime* 73 CRIME, L. & SOC. CHANGE 55-72 (2020). In describing the inherent characteristics of collusive agreements and the similar difficulties imposed on their investigation, the author highlights the relevance of the dissuasive effect of the antitrust authority’s performance.

III. Results

Since January 2023, the Project has developed new means to detect cartels in procurements, making possible the automation and standardization of the analyses carried out in investigations.

Once implemented in audit procedures of the Office of the Comptroller-General of Brazil and the Brazilian Court of Accounts, we expect to have a broader level of detection of anomalies and evidence of cartels in public procurements.

The partnerships will not only allow for improving violation detection but also have better dissuasive effects regarding agency performance.